

ENGLISH **LIVE**

20

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 20

21st February, 2017

To fill the vacuum after scrapping FIPB

February 7, 2017, 11:57 PM IST ET Edit in: ET Editorials | Economy, Edit Page, India | ET

The government has done well to announce the decision to abolish the Foreign Investment Promotion Board (FIPB) in 2017-18. More than 90% of the foreign direct investment, in any case, comes through the automatic route and sectoral regulation has also become far more robust, obviating the need for the board that was set up in early 1990s. Advanced countries, by and large, welcome all foreign investment, but have institutional mechanisms to block any foreign investment proposal that hurts national interest and security. India must also have such institutional safeguards. The RBI is best placed to play the nodal agency for review; after all, all foreign investment into the country has to comply with its foreign exchange reporting requirements.



The government should enact a law to give the RBI powers that go beyond collection of information to refer proposals for vetting for possible security implications to relevant ministries of the Union government. The executive government can then decide on whether to prohibit or suspend a transaction. That decision and the factors that guided the decision must be placed before a committee of the legislature, for the sake of transparency.

Globally, there are varying institutional arrangements, backed by law, to determine if a foreign investment proposal threatens national security. The Committee on Foreign Investment in the US, for example, is required to give Congress confidential briefings on request. The President can act in rare cases. Whereas the Australian law empowers the Treasurer to block foreign investment proposals. India needs not just a robust arrangement but also stringent timelines to conclude an RBI-initiated review and report to Parliament. Most FDI proposals should sail through, anyhow.

THE ECONOMIC TIMES
8th February 2017

←
DISCUSSION ON
21th Feb (Today)

→
DISCUSSION ON
22nd Feb (tomorrow)

Free Up Organised Retail, Shed Riders

Make in India needs an efficient retail sector

The government reportedly wants to free up foreign direct investment (FDI) in retail, but only for domestically manufactured goods. That shows confused thinking, not reform to enrich the economy and empower consumers. The country needs inflow of foreign capital. Real reform requires lifting curbs in FDI on all types of retail, both online and physical. It will boost investment, both in real estate and in manufacturing, bring in business expertise, and modernise the country's retail sector. The notion that allowing 100% FDI — only in e-commerce and brick-and-mortar companies that make and sell stuff locally — will boost domestic manufacturing is misplaced.

What will or will not be produced in India should be left to tariffs and industrial policy, apart from inherent competitiveness of local production relative to production abroad. The need is to freely allow foreign investment in retail, so as to offer manufacturers a ready distribution platform. It would also end complaints by organised physical retailers over unfair competition from online retail that receives oodles of cash from venture funds that it converts into discounts. General mistrust of organised retail is unwarranted as the benefits outweigh harm caused to small traders. Organised retail chains do away with tiers of stocking and distribution between the producer and consumer. This, in turn, lowers the cost for consumers, expands the market and boosts tax collections. By derisking distribution, domestic manufacturing can draw more investment, including investment by mid-size foreign companies that can make products, but are too tiny to invest or build their own distribution network.



Whether retailers should hold inventory or function as a marketplace should be left to the logic of commercial efficiency, rather than dictated, as at present. For a variety of goods, the marketplace model is just fine and would be chosen by the industry of its own accord. When selling directly to the customer by the online retailer is desirable, as it might be in the case of some specialist goods, why should policy come in the way and obstruct commerce?

THE ECONOMIC TIMES
21st February 2017

To fill the vacuum after scrapping FIPB

February 7, 2017, 11:57 PM IST ET Edit in: ET Editorials | Economy, Edit Page, India | ET

The government has done well to announce the decision to abolish the Foreign Investment Promotion Board (FIPB) in 2017-18. More than 90% of the foreign direct investment, in any case, comes through the automatic route and sectoral regulation has also become far more robust, obviating the need for the board that was set up in early 1990s. Advanced countries, by and large, welcome all foreign investment, but have institutional mechanisms to block any foreign investment proposal that hurts national interest and security. India must also have such institutional safeguards. The RBI is best placed to play the nodal agency for review; after all, all foreign investment into the country has to comply with its foreign exchange reporting requirements.



The government should enact a law to give the RBI powers that go beyond collection of information to refer proposals for vetting for possible security implications to relevant ministries of the Union government. The executive government can then decide on whether to prohibit or suspend a transaction. That decision and the factors that guided the decision must be placed before a committee of the legislature, for the sake of transparency.

Globally, there are varying institutional arrangements, backed by law, to determine if a foreign investment proposal threatens national security. The Committee on Foreign Investment in the US, for example, is required to give Congress confidential briefings on request. The President can act in rare cases. Whereas the Australian law empowers the Treasurer to block foreign investment proposals. India needs not just a robust arrangement but also stringent timelines to conclude an RBI-initiated review and report to Parliament. Most FDI proposals should sail through, anyhow.

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

8th February 2017

To fill the vacuum after scrapping FIPB

- The government has done well to announce the decision to **abolish** the Foreign Investment Promotion Board (FIPB) in 2017-18.
- More than 90% of the foreign direct investment, **in any case**, comes through the automatic route and sectoral **regulation** has also become far more **robust**, **obviating** the need for the board that was set up in early 1990s.
- Advanced countries, by and large, welcome all foreign investment, but have **institutional** mechanisms to block any foreign investment proposal that hurts national interest and security. India must also have such institutional safeguards. The RBI is best placed to play the nodal agency for review; **after all**, all foreign investment into the country has to **comply** with its foreign exchange reporting requirements.
- The government should **enact** a law to give the RBI powers that go beyond collection of information to refer proposals for **vetting** for possible security implications to relevant ministries of the Union government.
- The executive government can then decide on whether to **prohibit** or **suspend** a **transaction**. That decision and the factors that guided the decision must be placed before a committee of the legislature, for the sake of transparency.
- Globally, there are varying institutional arrangements, backed by law, to determine if a foreign investment proposal **threatens** national security. The Committee on Foreign Investment in the US, for example, is required to give Congress **confidential briefings** on request. The President can act in **rare** cases.
- Whereas the Australian law **empowers** the Treasurer to block foreign investment proposals. India needs not just a robust arrangement, but also **stringent** timelines to conclude an RBI-initiated review and report to Parliament. Most FDI proposals should **sail through**, anyhow.

FOREIGN PORTFOLIO INVESTMENTS (FPIs)



USA



Capital flows



- Hot money
- Passive investment
- Highly volatile / not stable
- Investments in financial assets
- Can come and go at any time
- Asset bubbles / asset crashes
- Currency appreciation / depreciation
- Developing countries are affected

FOREIGN PORTFOLIO INVESTMENTS (FPIs)

EXCESSIVE CAPITAL FLOWS



USA



EU



Capital flows

1 Asset bubbles

2 Appreciation in currencies

1



2



FOREIGN PORTFOLIO INVESTMENTS (FPIs)

CAPITAL FLIGHT



USA



EU



Capital flight

1



1

Asset crashes

2

Depreciation in currencies

2



FOREIGN DIRECT INVESTMENTS (FDIs)



Mercedes-Benz



Japan

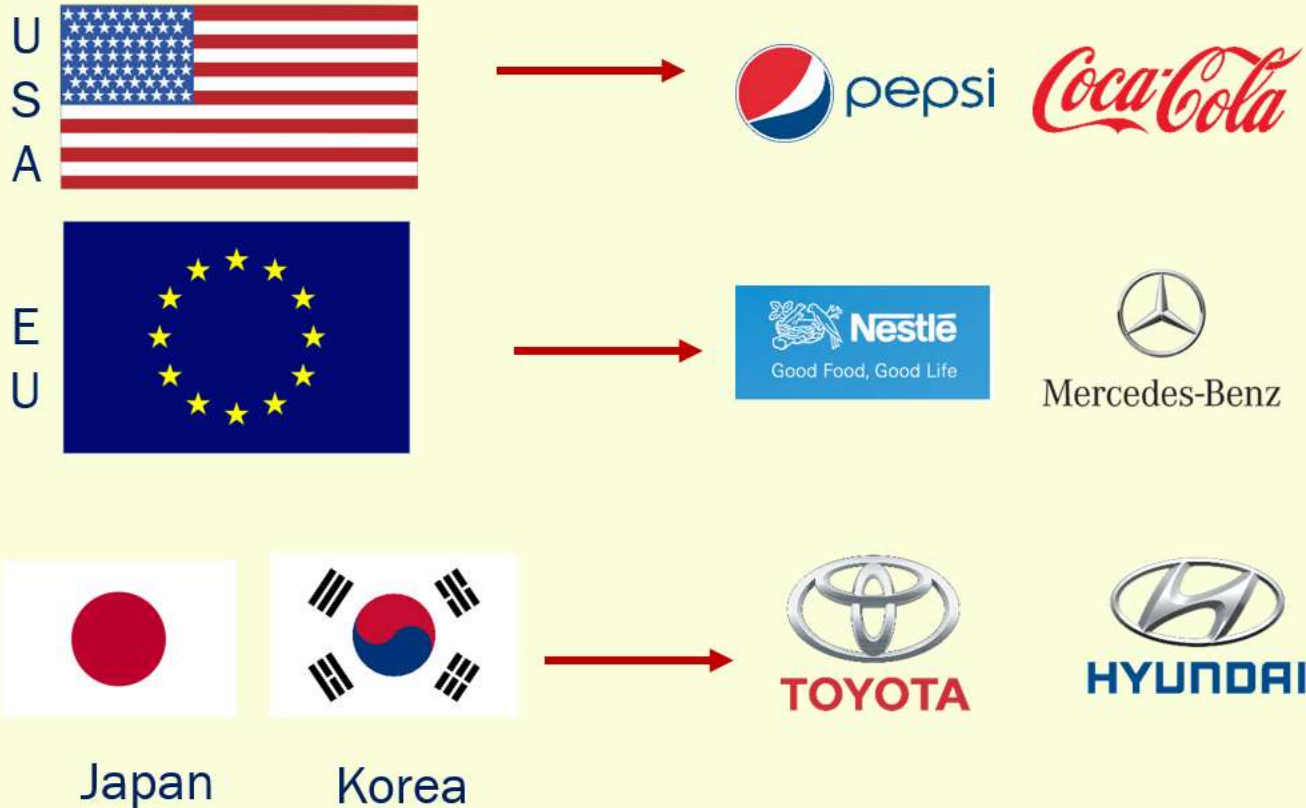


Korea



HYUNDAI

FOREIGN DIRECT INVESTMENTS (FDIs)



- Stable, long term
- Stays on for longer time, not easy to exit
- Interest to establish enterprise
- Creates jobs
- Comes with modern technology
- Aids in GDP
- Invests in physical assets
- Countries with stable policy and conducive environment attracts FDI



Foreign Investment Promotion Board

Department of Economic Affairs, Ministry of Finance



Department of Industrial Policy & Promotion

Government of India

Ministry of Commerce & Industry

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

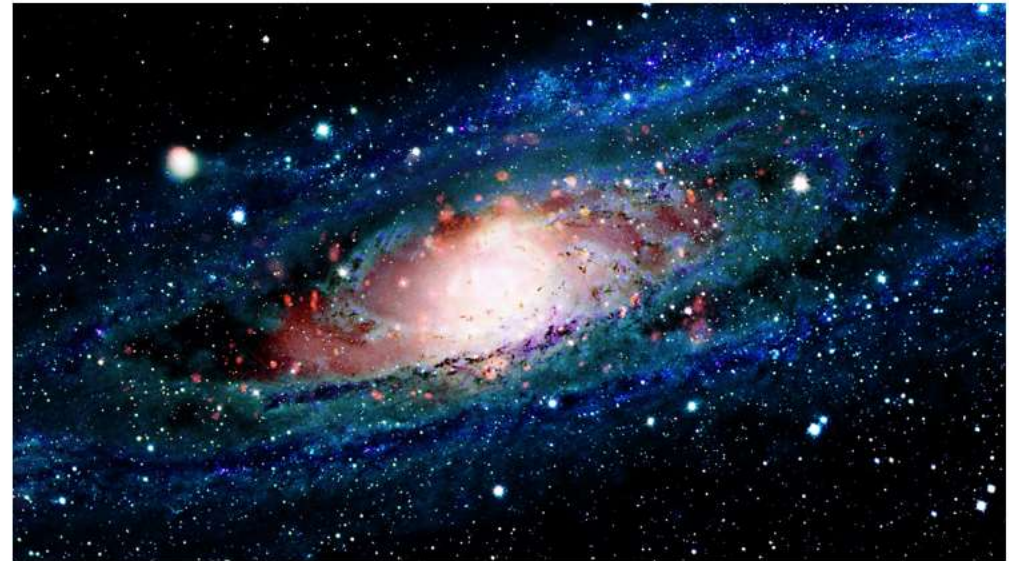
8th February 2017

To fill the *vacuum* after *scrapping* FIPB

The government has done well to announce the decision to *abolish* the Foreign Investment Promotion Board (FIPB) in 2017-18.

Vacuum

*Atmosphere exists only up to a certain height, beyond which there will be only **vacuum**.*



Vacuum

Space where there is little or no matter

Vacuum



Death of Jayalalithaa
created a **vacuum** in
AIADMK.

Vacuum

Lack of something



No scientist can work in a
vacuum, an integrated approach
is required for scientific
discovery.

Vacuum

Kept separate from
others

Scrap



*Govt. decided to **scrap** FIPB*

Scrap

Discarded metal

Scrap

To not continue with a system

Abolish

Govt. **abolished**
Forward Markets
Commission in 2015.



MINISTRY OF
FINANCE



LEARNING

SPACE

Transforming Human Lives

Abolish

End of an activity / custom by law or official circular

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

8th February 2017

More than 90% of the foreign direct investment, *in any case*, comes through the automatic route and sectoral *regulation* has also become far more *robust*, *obviating* the need for the board that was set up in early 1990s.

In any case



*I am not interested to attend marriage and **in any case**, I have not been invited.*

In any case

Also



*I think I do not need money, but I can arrange in the shortest possible time **in case** I need.*

In case

Being needed

Regulate

- You can **regulate** the temperature by adjusting thermostat
- RBI regulates** the banking system.



RODRIGO DUTERTE
President,
Philippines

The laws **controlling** drugs are very strict in Philippines.

Regulate

Make it work in a particular way

Control

To have influence over something / to order, limit

Robust

*Indian
economy is
robust*



*SBI is quite
robust
organization*

Robust

Strong / healthy / unlikely to fail

Obviate

*A peaceful solution with Naxalites would **obviate** the need to send paramilitary forces.*



Obviate

To remove a difficulty, and especially when proposed action to deal with will become unnecessary

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

8th February 2017

Advanced countries, by and large, welcome all foreign investment, but have *institutional* mechanisms to block any foreign investment proposal that hurts national interest and security. India must also have such institutional safeguards. The RBI is best placed to play the nodal agency for review; *after all*, all foreign investment into the country has to *comply* with its foreign exchange reporting requirements.

Institution



भारतीय स्टेट बैंक
State Bank of India
हर भारतीय का बैंक
THE BANKER TO EVERY INDIAN



Insurance Regulatory & Development
Authority Of India

Institution

A large and important organization

After all



The rain has stopped, so the cricket match will go ahead **after all**.

After all

Despite earlier doubts



I do like her, **after all** she is my English teacher.

After all

Used to add information

Comply

*Labour laws in our country are sometimes difficult to **comply**.*



सत्यमेव जयते

MINISTRY OF LABOUR AND EMPLOYMENT

GOVERNMENT OF INDIA

Comply

To obey a particular rule / law

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

8th February 2017

The government should **enact** a law to give the RBI powers that go beyond collection of information to refer proposals for **vetting** for possible security implications to relevant ministries of the Union government.



LEARNING SPACE

...Transforming Human Lives

Enact

Parliament **enacted** a law to create Real Estate Regulatory Authorities in States.



Enact

To make a law or a rule become official

Vetting

*In several Govt. departments **vetting** is necessary from accounts for each and every expenditure proposal.*



Vetting

Thorough review of important decisions, say investments, expenditure proposals etc.

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

8th February 2017

The executive government can then decide on whether to **prohibit** or **suspend** a **transaction**. That decision and the factors that guided the decision must be placed before a committee of the legislature, for the sake of transparency.

...Transforming Human Lives

1. LEGISLATIVE



2. EXECUTIVE



3. JUDICIARY



Prohibit

*Advertisements
pertaining to tobacco
products are **prohibited**
in visual media.*



Prohibit

To officially stop something by making laws / rules / regulations

Suspend

*Indian Railways
suspended 10 employees
after the major accident,
which occurred last
month*



Suspend

To stop something, either temporarily or permanently from happening or continuing

Opaque



Opaque

Prevent light from travelling through

Transparent



Transparent

Can see through it very clearly

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

8th February 2017

Globally, there are varying institutional arrangements, backed by law, to determine if a foreign investment proposal **threatens** national security.

The Committee on Foreign Investment in the US, for example, is required to give Congress **confidential briefings** on request. The President can act in **rare** cases.

Threatens



He **threatened** me several times.

Telling someone that you will kill or hurt him/her.

Threatens



Excessive use of pesticides will **threaten** the ecosystem.

Cause harm or damage

Threatens

Confidential

*Defence matters are mostly kept **confidential**.*



Confidential

Intended to be kept secret

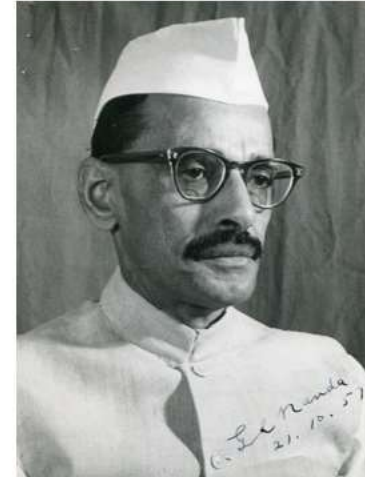
Brief



*National Security Adviser Ajit Doval **briefed** the PM about the recent surgical strikes.*

Brief

Expressing in few words



*Gulzarilal Nanda was acted as interim Prime Minister for a **brief** period.*

Brief

Short time period

Rare

*The Salar Jung Museum
in Hyderabad is with full
of **rare** artefacts.*

**LEARNING***...Transforming Human Lives***Rare**

Not common, very unusual

To fill the vacuum after scrapping FIPB

THE ECONOMIC TIMES

8th February 2017

Whereas the Australian law **empowers** the Treasurer to block foreign investment proposals. India needs not just a robust arrangement, but also **stringent** timelines to conclude an RBI-initiated review and report to Parliament. Most FDI proposals should **sail through**, anyhow.

Empowerment

Bank loans to
Self Help
Groups in our
country
resulted in
empowerment
of women



Self Help Groups



73rd & 74th
Amendments to
the Constitution
empowered
Panchayati Raj
Institutions in
our country

Empowerment

The process of giving people / organization more freedom
/ rights / official authority / legal power

Stringent

*The country should have
stringent laws to control
corruption.*



Stringent

Extremely severe / must be obeyed

Sail through

- Rajesh **sailed through** the UPSC exam.
- The proposal **sailed through** the committee without any debate.



UPSC

...Transforming Human Lives

Sail through

To do something easily / confidently

Free Up Organised Retail, Shed Riders

Make in India needs an efficient retail sector

The government reportedly wants to free up foreign direct investment (FDI) in retail, but only for domestically manufactured goods. That shows confused thinking, not reform to enrich the economy and empower consumers. The country needs inflow of foreign capital. Real reform requires lifting curbs in FDI on all types of retail, both online and physical. It will boost investment, both in real estate and in manufacturing, bring in business expertise, and modernise the country's retail sector. The notion that allowing 100% FDI — only in e-commerce and brick-and-mortar companies that make and sell stuff locally — will boost domestic manufacturing is misplaced.

What will or will not be produced in India should be left to tariffs and industrial policy, apart from inherent competitiveness of local production relative to production abroad. The need is to freely allow foreign investment in retail, so as to offer manufacturers a ready distribution platform. It would also end complaints by organised physical retailers over unfair competition



from online retail that receives oodles of cash from venture funds that it converts into discounts. General mistrust of organised retail is unwarranted as the benefits outweigh harm caused to small traders. Organised retail chains do away with tiers of stocking and

distribution between the producer and consumer. This, in turn, lowers the cost for consumers, expands the market and boosts tax collections. By derisking distribution, domestic manufacturing can draw more investment, including investment by mid-size foreign companies that can make products, but are too tiny to invest or build their own distribution network.

Whether retailers should hold inventory or function as a marketplace should be left to the logic of commercial efficiency, rather than dictated, as at present. For a variety of goods, the marketplace model is just fine and would be chosen by the industry of its own accord. When selling directly to the customer by the online retailer is desirable, as it might be in the case of some specialist goods, why should policy come in the way and obstruct commerce?

DISCUSSION ON

22nd Feb (tomorrow)

THE ECONOMIC TIMES

21st February 2017